

11.8 BUTTERFLY SPREAD STRATEGY



Explainer Video

A butterfly spread is a relatively more complex trading strategy that involves use of **two option spreads together**. It may take time to get comfortable with them initially.

In a butterfly strategy, we use any two spreads.

For instance,

BULL CALL SPREAD + BEAR CALL SPREAD

OR

BULL PUT SPREAD + BEAR PUT SPREAD



An important thing to note here that the combination of two spreads always has a common option type. This means that the two spreads combined will be **either call or put**. Different options are not used. The expiry of all the options is same and they all have the same underlying asset.

Butterfly spread is created by buying a call option, selling two call option of a higher strike price and then buying another call option of even higher strike price. The same can even be done with put options as well as taking the opposite side of these trades. We will understand about different types of butterfly spreads shortly.

The steps involved in creating these are:



We can even take opposite ends of this trade.